Multi asset portfolio management

Buy-Side project

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HEDGING SKILLS

Why this model Exists ?

How it works ?

Assets choices

Treasury and Risk Mana-gement

Perfor-mance Measure-ment

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Why does this model exists ?

Main observation

Macro economy is the first layer of analysis

Hypothesis

I cannot predict the market. But

I can estimate In which market regimes we currently are

How ?

Economic activity scoring:

- Unemployment
- Production
- Global earnings

Policy scoring:

- 2Y us bonds yield
- Inflation

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Why this model Exists ?

How it works ?

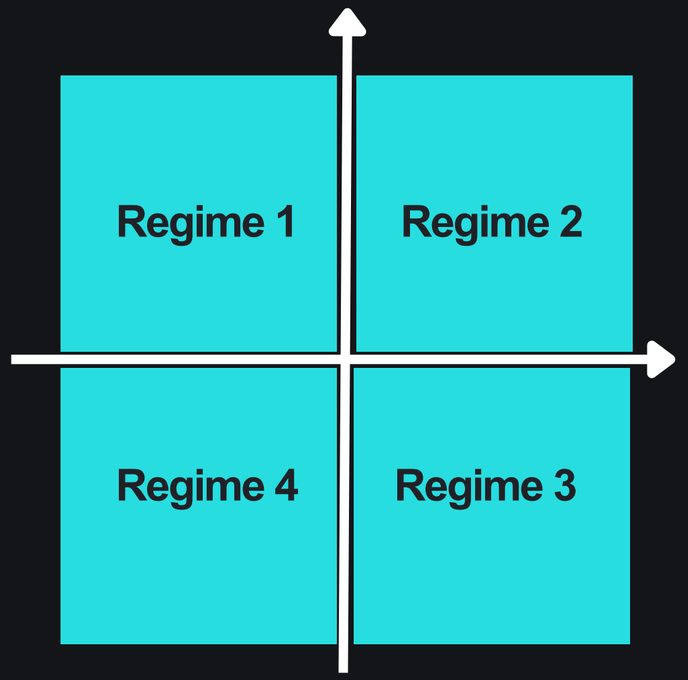
Assets choices

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How it works



Unemployment (u)

Industrial Production

Global earnings (s&p500)

2y US bonds Yield

Inflation

Scoring system

State compared to history (z-score)

Momentum (slope or MA)

U_score
Prod_score
earnings_score

2y_score
i_score

Economic activity score

> 0 negative
< 0 positive

Policy score

> 0 negative
< 0 positive

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Assets choices

Class	Product	Ticker	Role
Equity	ETF S&P500	SPY	Boost returns
Commodities	Gold	GLD	Hedge inflation / stress
Commodities	Commodity Index Tracking Fund	DBC	Growth up, Policy tight Growth down, Policy tight
Bonds	Treasuries 20y+	TLT	Resist bad economic outcomes
Credit	iShares Corp Bond	LQD	Capture spread/credit cycle

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Why this model Exists ?

How it works ?

Assets choices

The plan

Perfor-mance Measure-ment

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The plan:

- Macro regime engine
- Assets analytics
- Cross assets analytics
- “Back test” macro regime engine
- Allocation decision
- “Back test” allcoations
- Trade paper money

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Why this model Exists ?

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The plan

Perfor-mance Measure-ment

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Performance measurement

Benchmark #1

S&P500

Goal:

- *Higherreturns when SP is negative*
- *Enhanced sharpe ratio*

Benchmark #2

Equi-weighted portfolio

Passively & equally invested in the assets without rebalancing
//No macro modelling

Goal:

- *Higher returns*

Benchmark #3

Multi asset naive portfolio

Passively & equally invested in different basic assets

Goal:

- *Higher returns*
- *Tending sharpe ratio*

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THANK YOU !

by

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